Implementing the constrained-efficient leverage requires setting the tax such that

$$\tau_0^* = -\frac{\partial \hat{z}^{Run}(L_1^*|p_1^*)}{\partial p_1}\mathcal{P}_1'(L_1^*)\left[\frac{\lambda f(\hat{z}^{Run}(L_1^*|p_1^*))}{(1-\lambda)F(\hat{z}^F(L_1^*|p_1^*))+\lambda F(\hat{z}^{Run}(L_1^*|p_1^*))}\right]\frac{c_1^*}{\beta R}$$

$$\times\left[\frac{L_1^*}{c_0^*}+\frac{\beta}{K}\Big(V_1^R(n_1^*|p_1^*)-V_1^D(K,\hat{z}^{Run}(L_1^*|p_1^*))\Big)\right], \quad (32)$$